

**Time:** 5 minutes**Outcome:** Interpret quotations, convert currencies, and classify appreciation or depreciation.**Difficulty:** ●●○ Intermediate

Nominal Exchange Rates and Currency Values

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THE CORE IDEA

The nominal exchange rate states how much one currency trades for another. This course uses foreign currency per U.S. dollar for its dollar-market graphs. A higher value means one dollar buys more foreign currency, so the dollar appreciates; a lower value means dollar depreciation. Always write the units before converting or interpreting a percentage change.

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HOW TO RECOGNIZE IT

- Foreign currency per dollar: multiply dollars by the quoted rate to obtain foreign currency.
- To convert foreign currency back to dollars, divide by foreign currency per dollar.
- A rise from 0.90 to 0.99 foreign units per dollar is a 10% dollar appreciation.
- The reciprocal quotation moves in the opposite direction.

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WATCH OUT

Never say only 'the exchange rate rose.' Name the quotation. A rise in foreign currency per dollar is dollar appreciation, but a rise in dollars per foreign currency means dollar depreciation.

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WORKED EXAMPLE: UNITS FIRST, THEN ARITHMETIC

KEY RELATIONSHIPS

- Course quote: foreign currency / U.S. dollar
- Foreign currency = dollars x quote
- Dollars = foreign currency / quote
- % change = (new - old) / old x 100
- Higher quote = dollar appreciation

At 0.90 euros per U.S. dollar, \$200 buys $200 \times 0.90 = 180$ euros. If the quote rises to 0.99 euros per dollar, the dollar appreciates by $(0.99 - 0.90) / 0.90 = 10\%$. The same \$200 then buys 198 euros.

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CHECK YOURSELF

The quote falls from 1.20 to 1.08 foreign units per dollar. Did the dollar appreciate or depreciate, and by what percent?

**READY?****Return to the game and master this concept.**